

While Radhakishan may not have had any plans to run the company, his stake would have risen above that of BAT, had the open offer been successful.

Market-watchers felt Radhakishan Damani must have bet on BAT not being able to retaliate with a counter offer, as the Foreign Investment Promotion Board had twice in the past struck down BAT's application to increase its stake in VST. Strangely, it was ITC, through its investment arm Russell Credit, which jumped in with a counter-offer of Rs 115 per share. SEBI delayed clearing Bright Star's offer, as R. K. Damani was being investigated for his alleged role in the bear cartel accused of triggering the stock market crash immediately after the Union Budget of 2001.

And while ITC and BAT had sparred in the past and shared a far from harmonious relationship, BAT tacitly supported ITC's offer. Also, ITC was buying VST shares from the open market. Like Bright Star, ITC too said it wanted to own a significant stake in the company and did not have any intention of gaining management control.

A messy bidding war ensued, and it soon became evident that there were far too many obstacles, regulatory and cultural, for Radhakishan to be able to walk away with the much-coveted prize. Bright Star upped its offer price to Rs 118 per share, in response to which ITC increased its offer price to Rs 126 per share. Everybody expected Radhakishan to withdraw from the fray since he would not have been able to sustain a bidding war with a company of ITC's financial muscle.

Once again, Radhakishan surprised the market by raising the price and size of his bid to Rs 151 per share for 30 per cent of the company. Still, he failed to win over banks, insurance companies and financial institutions, which together held 22 per cent in the company.

Finally, when Bright Star's open offer did commence, VST advanced its book closure date by a day, just before the last date of the open offer. Bright Star and its investment banker ASK Raymond James cried foul, alleging that it was a deliberate move to thwart investors from buying VST shares from the open market and tendering them in the open offer.

Through the open offer, Bright Star managed to increase its stake in VST to around 20 per cent (and by another 6 per cent over the next few years), but Radhakishan's dream to own a controlling stake in VST remained just that, a dream. Some argue that there are enough stocks that have given better returns since then. That is a fair point. But here is what makes